AD-HOC OPINION · TECHNOLOGY

Oracle: real AI growth, financed at a high price

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Oracle Corporation ORCL US · USD

From database franchise to AI infrastructure platform, with cash flow lagging the story

Share price	EV/EBITDA FY1	FCF yield FY1	Dividend yield FY1
USD 131.14	**10.3x**	**-9.4%**	**1.5%**
-52.1% over one year	Operating margin 33.3%	Investment exceeds cash generated	USD 0.50 per quarter

1. What the company does

Oracle is best known for its database, which runs the core systems of many of the world's largest companies, and for its business applications: Fusion finance, HR and supply-chain software, NetSuite for mid-sized firms, and healthcare software from the former Cerner. Over the past few years it has added a third leg, Oracle Cloud Infrastructure (OCI), which rents out computing capacity, much of it for training and running AI models.

The mix is changing fast. In the quarter to 31 August 2026, total revenue rose 30% to USD 19.3 billion. Cloud infrastructure grew 121% to USD 7.4 billion and cloud applications 10% to USD 4.2 billion, while software licence and support revenue fell 3% to USD 5.5 billion as customers move to the cloud.

2. Why it could do well

Demand is ahead of supply. Oracle booked more than USD 30 billion of new AI cloud contracts in the quarter and delivered 850 MW of additional data-center capacity, almost three times the capacity delivered in the previous quarter. Management reported AI infrastructure utilisation of 97.9%, and GPUs coming up for renewal were renewed or resold at an average premium of 20%, a sign that installed capacity keeps its pricing power.

Profits are growing quickly. GAAP operating income rose 57% to USD 6.7 billion and non-GAAP operating income 31% to USD 8.2 billion, a margin of about 42%. Oracle raised its fiscal 2027 guidance to at least USD 90 billion of revenue and non-GAAP earnings per share of USD 8.10.

3. What sets it apart

It owns the whole stack. Database, applications and infrastructure come from one supplier, which gives Oracle a price advantage when customers move Oracle-heavy workloads out of their own data centers or from rival clouds. Oracle does not need to beat AWS, Microsoft Azure and Google Cloud on every workload; it needs to win where Oracle data, business applications and AI computing meet.

Multicloud is its most durable asset. Oracle runs its database inside the data centers of AWS, Azure and Google Cloud, so customers can keep their preferred cloud and still buy Oracle. Multicloud database revenue grew 353% year on year and multicloud customers 180%, across 70 regions. Oracle AI Database@AWS alone reached 22 AWS regions in August. The rival clouds thus become distribution channels as well as competitors. The limit is that Oracle may capture the database revenue without the wider infrastructure economics.

A sticky applications base. Cloud applications generated USD 15.9 billion in fiscal 2026, up 11%, and switching costs for finance and HR systems are high. Oracle is now adding governed AI agents to these applications, such as the Fusion Claw runtime launched in September. Their commercial impact is still to be demonstrated.

4. Cheap, or a value trap?

On earnings, the share looks undemanding. At USD 131.14, Oracle trades at about 16 times its fiscal 2027 guidance for non-GAAP earnings per share (Syz calculation). On Bloomberg consensus forward earnings, the multiple is 16.1x, close to its 10-year median of 16.9x and well below the 20.6x median of the past five years (Chart 2), although growth is now much faster. EV/EBITDA is 10.3x.

On cash flow, it is not. Operating cash flow reached a record USD 23 billion in the quarter, helped by customer prepayments, but capital spending of about USD 28 billion left free cash flow at minus USD 5 billion. The forward free-cash-flow yield is -9.4%. The earnings multiple therefore prices profits that are not yet turning into cash for shareholders.

The value-trap risk is real if the build-out keeps absorbing more cash than it generates for longer than expected. The case for value is that, once capacity is built and contracts ramp up, a 33% operating margin and a 10.7% return on invested capital could translate into positive free cash flow.

5. Main risks

- **Financing.** At 31 August 2026, Oracle had USD 125 billion of notes payable and other borrowings against USD 36 billion of cash, plus USD 288 billion of data-center leases due to start between late 2026 and fiscal 2029 and USD 34 billion of purchase commitments. The USD 20 billion share sale (about 141 million new shares) eased the balance sheet but diluted shareholders. S&P cut Oracle's credit rating to BBB-, one notch above speculative grade, in July.
- **Customer concentration.** Press reports link around half of the backlog to OpenAI; Oracle does not disclose the split. A change in OpenAI's plans or funding would hit Oracle directly.
- **Backlog conversion.** Management expects about half of the USD 664 billion backlog to become revenue over the next 36 months. Much of the newest contract volume would only affect revenue from fiscal 2028.
- **Execution.** Project Jupiter in New Mexico has faced gas-pipeline and permit setbacks; Oracle has sent a force majeure notice to the campus owner and asked federal regulators to speed up approval, while saying the project remains on schedule.
- **Competition.** AWS, Azure and Google keep broader AI tools and their own chips. Oracle could end up mainly as a lower-priced supplier of computing capacity.
- **Healthcare and security.** Oracle is expanding in sensitive clinical-data environments while integrating Cerner. Its agreement with AstraZeneca, announced on 20 October, is non-binding and has no disclosed financial terms.

6. What to watch next

- The second-quarter results: guidance is for revenue growth of 30% to 34% and cloud growth of 65% to 71% in USD.
- Free cash flow and the timing of the peak in capital spending.
- A broader customer base behind the backlog.
- Capacity delivered on schedule, including the Project Jupiter permits and gas supply.
- Further share or debt issuance, and the trend in lease commitments relative to revenue.
- Operating margin as infrastructure takes a larger share of revenue.

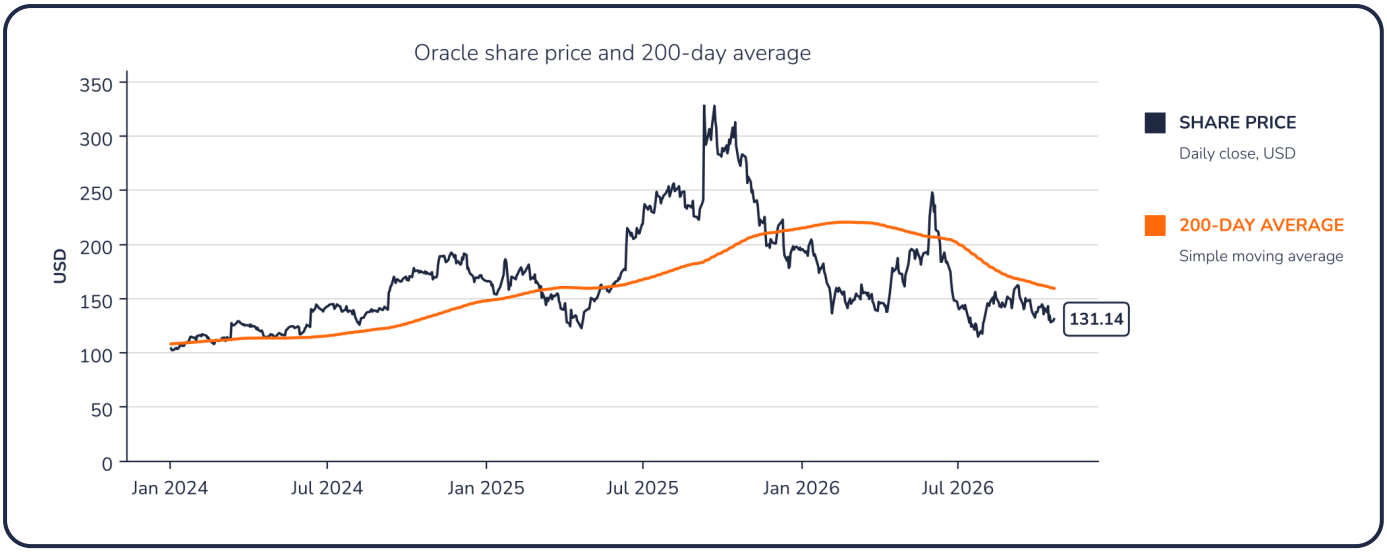
Conclusion

Oracle has built a credible position in the AI economy, but it is no longer a defensive software compounder: it has become a high-growth, high-execution-risk infrastructure company that finances its expansion with debt, leases and new shares. For a risk-tolerant investor with a multi-year horizon, it offers a broader way to participate in AI infrastructure than a pure-play GPU cloud, thanks to its database, applications and multicloud reach. For a conservative investor, negative free cash flow, rising commitments and customer concentration argue against treating it as a low-risk core holding.

Our stance would become more constructive if free cash flow starts to improve, capacity arrives on time and the backlog becomes more diversified. It would become more negative if capital spending stays high beyond the expected peak, lease obligations grow faster than revenue or an anchor customer reduces its commitments.

Chart 1 · ORCL: the share has given back its 2025 rally

Daily closing price and 200-day moving average since January 2024, in USD



Source: Syz Research, Bloomberg

Chart 2 · ORCL: the earnings multiple is back near its 10-year median

Share price divided by Bloomberg consensus forward earnings per share, over ten years



Source: Syz Research, Bloomberg

KEY DATA

MARKET DATA	VALUE
Latest price	**USD 131.14**
1-year change	**-52.06%**
52-week range	**USD 114.99 to 283.33**
Beta	**1.72**
Market cap. (USD m)	**396,533**
5-day average volume	**34,101,120**
ISIN	**US68389X1054**

VALUATION AND RETURNS	VALUE
P/Book FY1	**4.7x**
EV/EBITDA FY1	**10.3x**
Operating margin	**33.32%**
ROIC	**10.73%**
FCF yield FY1	**-9.4%**
Dividend yield FY1	**1.5%**

Source: Syz Research, Bloomberg. Data as of the close on 20 October 2026.

Sources

Oracle, Q1 fiscal 2027 results press release, 10 September 2026, and Form 10-Q for the quarter ended 31 August 2026 (balance sheet, borrowings, lease and purchase commitments, at-the-market share sale, remaining performance obligations).

Oracle, Q1 fiscal 2027 earnings call, 10 September 2026 (multicloud database growth and regions, AI infrastructure utilisation, GPU renewals, backlog conversion).

Oracle, Q4 and fiscal 2026 results press release, June 2026 (cloud applications revenue).

Oracle and AWS, Oracle AI Database@AWS announcement, 13 August 2026. Oracle, Fusion Claw announcement, 29 September 2026. Oracle and AstraZeneca, collaboration announcement, 20 October 2026.

Press reports on Project Jupiter (pipeline, permits, force majeure notice), the S&P rating action of July 2026 and the OpenAI contract.

Syz Research, Bloomberg (prices, consensus forward earnings, key data). Syz calculations: price to fiscal 2027 non-GAAP EPS guidance (USD 131.14 / USD 8.10 = 16.2x); quarterly capital spending approximated as operating cash flow (USD 23 billion) less free cash flow (minus USD 5 billion).

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